03 · Category strategy development

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1 WHAT IT IS

Category strategy is the per-category playbook that translates segmentation into action — the 3-year roadmap covering supplier base structure, contract approach, savings levers, risk mitigations, innovation expectations, and the operating cadence with the supplier base. It is what makes the difference between procurement that negotiates and procurement that creates structural value.

2 WHY IT MATTERS

Most procurement organizations have category management on the organizational chart and not in practice. **The discipline of writing a real category strategy — one that survives leadership scrutiny and guides decisions for three years — is rarer than the title would suggest**. The standard reference work documents the gap clearly **(Monczka et al., 2020 — Purchasing and Supply Chain Management, 7th ed.)**: a category strategy is not a one-page summary of last year's savings; it is a structural analysis of where the category will be in three years, what the procurement organization must do to be ready, and how the supplier base must evolve to support it. The asymmetry is severe — **a category without a strategy receives the supplier's strategy**, and the supplier always has one.

3 HOW IT IS DONE

1. **Start with the internal business demand outlook, not the external supply market.** The category strategy is a function of what the business will need (volume, mix, specifications, timing) over the next 3 years. Many strategies start with the supplier landscape and never reconcile back to internal demand — producing strategies that optimize for the wrong target.
2. **Build the should-cost model for the top SKUs in the category.** Bottom-up cost decomposition — material, labor, overhead, margin — gives the negotiating position that quote-based benchmarking cannot. The should-cost model is what separates strategic categories from transactional ones.
3. **Design the future supplier base structure — number, geography, capability tier.** The strategic question is not "who is our best current supplier" but "what is the right supplier base to support our 3-year demand outlook, given supply market reality?" The answer often involves consolidation, geographic rebalancing, or capability development.
4. **Identify the savings levers explicitly — and rank them by feasibility × impact.** Volume consolidation, specification rationalization, payment term optimization, design changes, supplier development. Each lever has a different effort profile and timeline. A real strategy quantifies them and sequences them.
5. **Define the contract architecture — master agreements, pricing mechanisms, SLA structures.** The contract architecture supports the strategy. A category with high commodity price volatility needs an indexed pricing mechanism; a category with high specification stability supports fixed pricing with longer terms.
6. **Sequence the strategy into a 3-year roadmap with quarterly milestones.** The roadmap names the specific suppliers to consolidate, the specifications to rationalize, the contracts to renegotiate, and the cost reductions to deliver — quarter by quarter. Without sequencing, the strategy is intent; with it, the strategy is a plan.

WORKED EXAMPLE — ILLUSTRATIVE

A specialty chemicals manufacturer builds a category strategy for raw materials — **35% of total spend ($168M)**, currently sourced from 6 primary suppliers with significant overlap. The 3-year demand outlook shows volume growth of 18% driven by two new product lines, with shifting specifications as one product family migrates to higher-purity grades. The should-cost analysis reveals the company is paying **~14% above competitive market price** in two key chemistries, masked by long-standing relationships. The strategy: consolidate from 6 suppliers to 3 (eliminating two suppliers in chemistries where they are sub-scale, retaining one in a strategic dual-source position), dual-source the strategic items at 70/30 volume split, migrate from fixed-price contracts to indexed pricing tied to base petrochemical feedstocks. **3-year savings target: $8.4M**; year-1 delivered: $3.1M; supplier base contracts negotiated in 14 months; the migration to indexed pricing also reduces working capital exposure to commodity spikes.

IN PRACTICE

Anchor on internal demand, not on supplier capability

A category strategy that starts with "what suppliers offer" is the supplier's strategy, not procurement's. Start with the demand profile — volume, mix, criticality, growth trajectory — and let the supplier base structure follow from it. The inverse sequence yields a strategy that fits the market better than it fits the business.

Build a should-cost model before negotiating

A should-cost model decomposes the supplier's price into material, labor, overhead, and margin. Negotiating without one is negotiating against a quote rather than a cost — the supplier already has the should-cost in their CRM, and the buyer who lacks it is structurally behind in every conversation.

Design the future supplier base explicitly

Decide in writing how many suppliers the category will have in three years, who they will be, and what each one will be relied on for. A category strategy that does not name the future supplier base is a category strategy that lets the past supplier base continue by default.

Sequence the 3-year roadmap into quarterly milestones

A roadmap without a calendar is a wish list. Convert each strategic move — consolidation, qualification, contract restructure, supplier development — into a dated milestone with an owner. The milestones are what survives leadership turnover and prevents the strategy from quietly being replaced by quote-by-quote management.

WHAT YOU WOULD USE

CATEGORY STRATEGY / SHOULD-COST PLATFORMS

SAP Ariba Category Management / GEP Smart / Ivalua — Procurement suites with native category strategy templates, document repositories, and milestone tracking — the right choice when the operation is operating category management at scale across many categories **(SAP — vendor; GEP — vendor; Ivalua — vendor)**.

aPriori, Calcura, Costimator — Specialized should-cost platforms that build the bottom-up cost models category strategies depend on — strongest for engineered components and manufactured parts **(aPriori — vendor; Calcura — vendor)**.

Consulting-driven strategy development (Kearney, McKinsey, Bain) — When the operation needs to develop a comprehensive category strategy with external expertise and knowledge transfer — strong for strategic categories worth the investment, less suited for the full category portfolio.

Structured PowerPoint + Excel + supplier database — Most category strategies still live in PowerPoint with Excel models for the should-cost — and that is fine, provided the discipline of update and review is in place. Tooling does not create strategy; it documents it.

4 SO WHAT

A category without a strategy receives the supplier's strategy — and the supplier always has one. Anchor on internal demand, build the should-cost model, design the future supplier base, identify and rank the savings levers, define the contract architecture, and sequence the 3-year roadmap into quarterly milestones. The plants that operate real category strategies negotiate from a position of structural understanding; the plants that do not negotiate from quotes.

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